

**TABLE II**  
**WORKING CAPITAL PER MONTH**

| 1. STAFF AND LABOUR                             |                 |               |                  |
|-------------------------------------------------|-----------------|---------------|------------------|
| Designation                                     | Number          | Salary (₹)    | Total (₹)        |
| Manager cum supervisor                          | 1               | 20,000        | 20,000           |
| Office assistant                                | 1               | 14,000        | 14,000           |
| Design engineer                                 | 1               | 20,000        | 20,000           |
| Marketing executive                             | 1               | 15,000        | 15,000           |
| Peon/watchman                                   | 1               | 5,000         | 5,000            |
| Skilled worker                                  | 4               | 8,000         | 32,000           |
| Semi-skilled worker                             | 5               | 6,000         | 30,000           |
| Total                                           |                 |               | 136,000          |
| Perquisites @ 15% of salary                     |                 |               | 20,400           |
| Total                                           |                 |               | 156,400          |
| 2. RAW MATERIALS                                |                 |               |                  |
| Particulars                                     | Indian/Imported | Rate/unit (₹) |                  |
| Metal cabin                                     | Indian          | 25            |                  |
| PCBs                                            | Indian          | 25            |                  |
| Integrated circuits                             | Indian          | 500           |                  |
| Sensors                                         | Indian          | 500           |                  |
| Transmitter, capacitors, resistors, etc         | Indian          | 100           |                  |
| Counters, wires and switches                    | Indian          | 500           |                  |
| 7-segment display other components              | Indian          | 100           |                  |
| Total                                           |                 |               | 1,750            |
| Cost of 300 counters                            |                 |               | 525,000          |
| 3. UTILITIES                                    |                 |               |                  |
| Description                                     |                 |               | Average cost (₹) |
| Power                                           |                 |               | 3,500            |
| Water                                           |                 |               | 500              |
| Total                                           |                 |               | 4,000            |
| 4. OTHER CONTINGENT EXPENSES                    |                 |               |                  |
| Description                                     |                 |               | Amount (₹)       |
| Rent                                            |                 |               | 10,000           |
| Stationery, postage and printing                |                 |               | 5,000            |
| Repair and maintenance                          |                 |               | 5,000            |
| Travelling and conveyance                       |                 |               | 10,000           |
| Advertising and publicity                       |                 |               | 10,000           |
| Insurance and taxes                             |                 |               | 5,000            |
| Other office expenses, telephone, Internet, etc |                 |               | 5,000            |
| Other miscellaneous expenditure                 |                 |               | 2,000            |
| Total                                           |                 |               | 52,000           |
| TOTAL RECURRING EXPENDITURE PER MONTH (1+2+3+4) |                 |               | 737,400          |
| WORKING CAPITAL FOR 3 MONTHS                    |                 |               | 2,212,200        |

sidered under pre-operative expenses.

8. Essential machinery and equipment required for the project have been indicated. The unit may also utilise common facilities available at electronics test and development centres and electronic regional test laboratories set up by state governments and STQC Directorate of Department of Information Technology, Ministry of Commu-

nication and Information Technology, to manufacture products conforming to Bureau of Indian Standards.

### Financial analysis

Table I shows the fixed capital, that is, land and building, and machinery and equipment. Table II shows the cost of working capital per month for three months.

**TABLE III**  
**TOTAL CAPITAL INVESTMENT**

| Total capital investment | Cost (₹)         |
|--------------------------|------------------|
| Fixed capital            | 346,400          |
| Working capital          | 2,212,200        |
| <b>Total</b>             | <b>2,558,600</b> |

**TABLE IV**  
**FINANCIAL ANALYSIS**

| Financial analysis                                   | Cost (₹)         |
|------------------------------------------------------|------------------|
| Cost of production/annum                             |                  |
| Total recurring expenditure/annum                    | 8,848,800        |
| Depreciation on machinery and equipment @ 10%        | 22,400           |
| Depreciation on office equipment and furniture @ 20% | 6,000            |
| Depreciation on tools, jigs, fixtures, etc @ 25%     | 12,500           |
| Interest on total capital investment @ 16%           | 409,376          |
| <b>Total</b>                                         | <b>9,299,076</b> |

**TABLE V**  
**TURN OVER PER ANNUM**

| Description        | Production capacity per annum | Rate per unit (₹) | Total revenue (₹) |
|--------------------|-------------------------------|-------------------|-------------------|
| Electronic counter | 3,600                         | 3,000             | 10,800,000        |

Total capital investment is given in Table III, and cost of production per annum in Table IV. Turnover per annum is shown in Table V.

Profit per annum (before tax) = Turnover per annum – Cost of production per annum  
= 10,800,000 – 9,299,076 = 1,500,924

$$\text{Profit ratio} = \frac{\text{Profit per annum} \times 100}{\text{Turnover per annum}}$$

$$= \frac{1,500,924 \times 100}{10,800,000} = 13.9\%$$

$$\text{Rate of return} = \frac{\text{Profit per annum} \times 100}{\text{Total capital investment}}$$

$$= \frac{1,500,924 \times 100}{2,558,600} = 58.66\%$$

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### References

1. www.electronicshub.org
2. www.moef.gov.in
3. newspharmaceuticals.com
4. www.electronicshub.org
5. www.dcmsme.gov.in